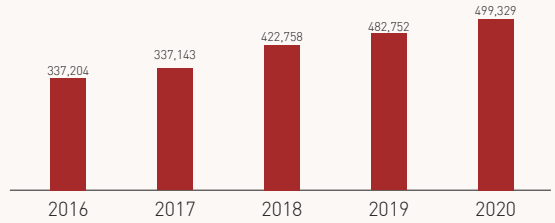
EQUITY GROUP HOLDINGS PLC
UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES FOR PERIOD ENDED 31ST MARCH, 2020

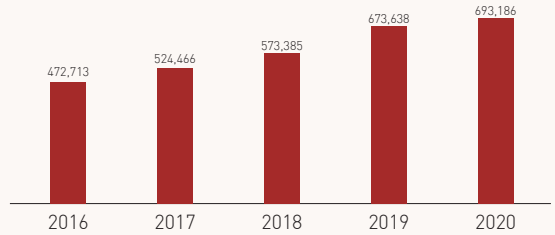
EQUITY

STATEMENT OF FINANCIAL POSITION AS AT	EQUITY BANK (KENYA) LIMITED			EQUITY GROUP HOLDINGS PLC					
	BANK			COMPANY			GROUP		
	31st Mar 2019 KShs. '000' (Unaudited)	31st Dec 2019 KShs. '000' (Audited)	31st Mar 2020 KShs. '000' (Unaudited)	31st Mar 2019 KShs. '000' (Unaudited)	31st Dec 2019 KShs. '000' (Audited)	31st Mar 2020 KShs. '000' (Unaudited)	31st Mar 2019 KShs. '000' (Unaudited)	31st Dec 2019 KShs. '000' (Audited)	31st Mar 2020 KShs. '000' (Unaudited)
A. ASSETS									
1. Cash (both local & foreign)	8,126,722	10,294,829	10,691,593	7,820,024	12,693,971	13,056,741	21,831,374	25,499,983	24,702,503
2. Balances due from Central Bank of Kenya	21,473,114	22,299,710	15,375,969	-	-	-	21,473,115	22,299,710	15,375,969
3. Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-	-	-	-
4. Financial assets at fair value through profit and loss	-	-	-	-	-	-	-	-	-
5. Investment securities:	**159,057,445**	**154,964,387**	**173,241,943**	**-**	**-**	**-**	**169,650,576**	**172,208,187**	**189,878,441**
a) Held to maturity:	**16,352,580**	**15,798,028**	**15,813,900**	**-**	**-**	**-**	**20,534,556**	**21,572,268**	**18,660,039**
a. Kenya Government securities	15,740,865	15,183,690	15,196,620	-	-	-	15,740,865	15,183,690	15,196,620
b. Other securities	611,715	614,338	617,280	-	-	-	4,793,691	6,388,578	3,463,419
b) Available for sale:	**142,704,865**	**139,166,359**	**157,428,043**	**-**	**-**	**-**	**149,116,020**	**150,635,919**	**171,218,402**
a. Kenya Government securities	122,186,813	123,389,271	142,385,141	-	-	-	122,186,813	123,389,271	142,385,141
b. Other securities	20,518,052	15,777,088	15,042,902	-	-	-	26,929,207	27,246,648	28,833,261
6. Deposits and balances due from local banking institutions	3,995,840	4,000,974	2,579,500	-	-	-	8,933,078	7,202,000	15,472,363
7. Deposits and balances due from banking institutions abroad	12,373,894	6,800,293	8,793,030	-	-	-	32,479,634	31,432,500	19,616,267
8. Tax recoverable	-	-	-	-	36,935	-	71,917	152,328	115,701
9. Loans and advances to customers (net)	229,289,421	276,863,043	284,234,137	-	-	-	305,535,628	366,440,456	379,215,389
10. Balances due from group companies	870,594	925,602	4,688,379	108,499	60,535	92,861	-	19,100	-
11. Investments in associates	-	-	-	-	-	-	-	-	-
12. Investments in subsidiary companies	-	-	-	66,786,117	66,786,117	70,193,742	-	-	-
13. Investments in joint ventures	-	-	-	-	-	-	-	-	-
14. Investment properties	-	-	-	-	-	-	-	-	-
15. Property and equipment	4,935,701	5,725,566	5,727,060	-	12,455	12,516	11,692,358	11,030,843	11,374,618
16. Prepaid lease rentals	12,134	-	-	-	-	-	91,705	-	-
17. Intangible assets	6,594,611	6,191,571	6,708,922	-	-	-	7,135,794	7,244,414	7,713,921
18. Deferred tax asset	4,925,505	5,064,277	6,016,906	82,996	84,481	84,481	6,189,780	6,491,884	7,469,869
19. Retirement benefit asset	-	-	-	-	-	-	-	-	-
20. Other assets	13,589,117	14,394,985	12,628,819	197,475	159,065	155,239	20,582,376	23,661,136	22,250,654
21.TOTAL ASSETS	**465,244,098**	**507,525,237**	**530,686,258**	**74,995,111**	**79,833,559**	**83,595,580**	**605,667,335**	**673,682,541**	**693,185,695**
B. LIABILITIES									
22. Balances due to Central Bank of Kenya	-	-	-	-	-	-	-	-	-
23. Customer deposits	345,431,001	380,603,583	399,431,891	-	-	-	428,509,100	482,752,134	499,328,941
24. Deposits and balances due to local banking institutions	-	-	-	-	-	-	-	-	-
25. Deposits and balances due to foreign banking institutions	-	-	-	-	-	-	-	-	-
26. Other money market deposits	3,357,276	534,216	5,026,430	-	-	-	3,672,457	113,414	2,513,660
27. Borrowed funds	35,925,544	41,542,934	39,832,786	-	-	-	50,969,467	56,600,944	52,593,634
28. Balances due to group companies	352,764	176,118	434,925	438,287	618,649	4,086,124	110,401	-	74,804
29. Tax payable	1,661,942	1,257,482	3,355,773	7,704	-	38,789	2,143,337	1,928,201	4,169,437
30. Dividends payable	-	-	-	7,547,350	-	-	7,547,350	-	-
31. Deferred tax liability	-	-	-	-	-	-	59,451	149,708	138,590
32. Retirement benefit liability	-	-	-	-	-	-	-	-	-
33. Other liabilities	10,976,697	13,496,535	9,975,964	2,823	38,511	16,567	17,219,046	20,361,475	17,963,108
34. TOTAL LIABILITIES	**397,705,224**	**437,610,867**	**458,057,769**	**7,996,164**	**657,160**	**4,141,480**	**510,230,609**	**561,905,876**	**576,782,174**
C. SHAREHOLDERS' FUNDS									
35. Paid up / assigned capital	30,000,000	30,000,000	30,000,000	1,886,837	1,886,837	1,886,837	1,886,837	1,886,837	1,886,837
36. Share premium / (discount)	9,964,132	9,964,132	9,964,132	16,062,607	16,062,607	16,062,607	16,062,607	16,062,607	16,062,607
37. Revaluation reserve	1,717,780	2,380,913	1,246,547	-	-	-	(7,077,231)	(7,118,600)	(7,816,667)
38. Retained earnings / accumulated losses	25,856,962	27,569,325	31,417,810	49,049,503	61,226,955	61,504,656	83,639,507	99,149,659	104,433,749
39. Statutory loan loss reserve	-	-	-	-	-	-	-	738,780	738,780
40. Other reserves	-	-	-	-	-	-	-	-	-
41. Proposed dividends	-	-	-	-	-	-	-	-	-
42. Non controlling interests	-	-	-	-	-	-	925,006	1,057,382	1,098,215
43. TOTAL SHAREHOLDERS' FUNDS	**67,538,874**	**69,914,370**	**72,628,489**	**66,998,947**	**79,176,399**	**79,454,100**	**95,436,726**	**111,776,665**	**116,403,521**
44. TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	**465,244,098**	**507,525,237**	**530,686,258**	**74,995,111**	**79,833,559**	**83,595,580**	**605,667,335**	**673,682,541**	**693,185,695**
STATEMENT OF COMPREHENSIVE INCOME									
1. INTEREST INCOME									
1.1 Loans and advances	6,182,698	28,835,285	7,293,372	-	-	-	9,068,197	41,458,529	10,767,246
1.2 Government securities	3,888,273	15,658,672	4,156,241	-	-	-	4,144,630	16,872,322	4,516,558
1.3 Deposits and placements with banking institutions	77,445	799,441	106,398	125,046	181,752	255,095	265,768	1,201,517	119,210
1.4 Other interest Income	16,573	190,439	16,386	-	-	-	18,431	190,439	20,198
1.5 Total interest income	**10,164,989**	**45,483,837**	**11,572,397**	**125,046**	**181,752**	**255,095**	**13,497,025**	**59,722,807**	**15,423,212**
2. INTEREST EXPENSES									
2.1 Customer deposits	1,846,755	7,908,835	2,443,905	-	-	-	2,519,673	11,072,280	2,821,123
2.2 Deposits and placements from banking institutions	18,141	139,496	7,101	-	-	-	160,944	698,524	130,191
2.3 Other interest expense	421,666	3,020,094	747,591	-	-	-	380,786	2,969,642	926,737
2.4 Total interest expenses	**2,286,562**	**11,068,425**	**3,198,597**	**-**	**-**	**-**	**3,061,403**	**14,740,446**	**3,878,051**
3. NET INTEREST INCOME	**7,878,427**	**34,415,412**	**8,373,800**	**125,046**	**181,752**	**255,095**	**10,435,623**	**44,982,361**	**11,545,161**
4. NON-INTEREST INCOME									
4.1 Fees and commissions income on loans & advances	1,234,266	5,017,215	1,284,960	-	-	-	1,376,051	5,596,635	1,401,477
4.2 Other fees and commissions income	2,313,988	10,371,202	2,664,907	-	-	-	3,427,850	15,608,742	4,002,812
4.3 Foreign exchange trading income	495,173	2,312,072	695,548	-	-	-	815,453	3,503,661	1,094,954
4.4 Dividend income	-	-	-	-	12,500,000	100,000	-	-	-
4.5 Other income	765,882	3,032,367	1,006,254	13,597	58,586	32,326	1,562,446	6,071,015	1,813,918
4.6 Total non-interest income	**4,809,309**	**20,732,856**	**5,651,669**	**13,597**	**12,558,586**	**132,326**	**7,181,799**	**30,780,053**	**8,313,161**
5. TOTAL OPERATING INCOME	**12,687,736**	**55,148,268**	**14,025,469**	**138,643**	**12,740,338**	**387,421**	**17,617,422**	**75,762,414**	**19,858,322**
6. OPERATING EXPENSES									
6.1 Loan loss provision	200,885	3,969,783	2,629,002	-	960	-	409,892	5,302,566	3,116,721
6.2 Staff costs	1,618,892	8,579,853	2,033,679	-	11,073	4,705	2,629,583	12,808,766	3,233,191
6.3 Directors' emoluments	1,503	18,865	4,478	2,402	75,631	5,096	15,076	143,460	21,714
6.4 Rental charges	364,192	180,994	58,342	-	2,058	-	672,812	425,178	100,858
6.5 Depreciation on property and equipment	492,263	2,918,655	758,079	-	354	413	782,981	4,754,343	1,236,542
6.6 Ammortisation charges	296,101	1,111,474	251,133	-	-	-	338,526	1,266,816	321,481
6.7 Other operating expenses	2,526,048	12,394,979	3,296,454	13,346	320,014	23,351	3,932,286	19,583,855	4,824,154
6.8 Total operating expenses	**5,499,884**	**29,174,603**	**9,031,167**	**15,748**	**410,090**	**33,565**	**8,781,156**	**44,284,984**	**12,854,661**
7.0 Profit / (loss) before tax and exceptional items	**7,187,852**	**25,973,665**	**4,994,302**	**122,895**	**12,330,248**	**353,856**	**8,836,266**	**31,477,430**	**7,003,661**
8.0 Exceptional items-share of profit of associate	-	-	-	-	-	-	-	-	-
9.0 Profit / (loss) after exceptional items	**7,187,852**	**25,973,665**	**4,994,302**	**122,895**	**12,330,248**	**353,856**	**8,836,266**	**31,477,430**	**7,003,661**
10. Current tax	(2,156,355)	(8,476,145)	(2,098,291)	(36,868)	(68,255)	(76,157)	(2,601,305)	(10,023,375)	(2,671,465)
11. Deferred tax	-	1,246,224	952,629	-	1,485	-	(39,518)	1,106,659	992,727
12. Profit / (loss) after tax and exceptional items	**5,031,497**	**18,743,744**	**3,848,640**	**86,027**	**12,263,479**	**277,699**	**6,195,443**	**22,560,714**	**5,324,923**
12.1 Minority Interest	-	-	-	-	-	-	(42,362)	(174,737)	(40,833)
13. Profit / (loss) after tax and exceptional items and minority interest	**5,031,497**	**18,743,744**	**3,848,640**	**86,027**	**12,263,479**	**277,699**	**6,153,081**	**22,385,977**	**5,284,090**
14. Other comprehensive income									
14.1 Gains / (losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	(85,300)	(824,487)	398,823
14.2 Fair value changes in available for sale financial assets	1,920,923	2,584,056	(1,134,366)	-	-	-	1,932,249	2,630,066	(1,096,890)
14.3 Revaluation surplus on property and equipment	-	-	-	-	-	-	-	-	-
14.4 Share of other comprehensive income of associates	-	-	-	-	-	-	-	-	-
14.5 Income tax relating to components of other comprehensive income	-	-	-	-	-	-	-	-	-
15. Other comprehensive income for the year net of tax	**1,920,923**	**2,584,056**	**(1,134,366)**	**-**	**-**	**-**	**1,846,949**	**1,805,579**	**(698,067)**
16. Total comprehensive income for the year	**6,952,420**	**21,327,800**	**2,714,274**	**86,027**	**12,263,479**	**277,699**	**8,042,392**	**24,366,293**	**4,626,856**
EARNINGS PER SHARE-BASIC & DILUTED	167.72	624.79	128.29	0.02	3.25	0.07	1.64	5.93	1.41
DIVIDEND PER SHARE-DECLARED	-	400.00	-	-	-	-	-	-	-
OTHER DISCLOSURES									
1) NON-PERFORMING LOANS AND ADVANCES									
a) Gross non performing loans and advances	20,813,759	26,184,843	32,166,812	-	-	-	29,391,233	36,273,992	44,648,014
b) Less interest in suspense	2,688,326	3,595,537	4,512,192	-	-	-	3,299,529	4,299,222	5,381,185
c) Total non-performing loans and advances (a-b)	**18,125,433**	**22,589,306**	**27,654,620**	**-**	**-**	**-**	**26,091,704**	**31,974,769**	**39,266,829**
d) Less loan loss provision	6,580,511	10,105,423	11,621,681	-	-	-	9,594,471	12,937,708	15,078,139
e) Net non-performing loans (c-d)	**11,544,922**	**12,483,883**	**16,032,939**	**-**	**-**	**-**	**16,497,233**	**19,037,062**	**24,188,690**
f) Discounted value of securities	10,599,971	11,341,973	14,834,534	-	-	-	15,554,614	17,897,872	22,082,387
g) Net NPLs exposure (e-f)	**944,951**	**1,141,910**	**1,198,405**	**-**	**-**	**-**	**942,619**	**1,139,190**	**2,106,303**
2) INSIDER LOANS AND ADVANCES									
a) Directors, shareholders and associates	3,106,431	3,001,441	3,180,962	-	-	-	3,223,437	3,188,958	3,366,758
b) Employees	4,933,146	4,997,039	4,997,314	-	-	-	6,225,935	6,484,656	6,503,435
c) Total insider loans and advances and other facilities	**8,039,577**	**7,998,480**	**8,178,276**	**-**	**-**	**-**	**9,449,372**	**9,673,614**	**9,870,193**
3) OFF BALANCE SHEET ITEMS									
a) Letter of credit, guarantees and acceptances	71,804,101	72,277,376	76,635,876	-	-	-	89,863,618	83,225,929	93,159,724
b) Forwards,swaps and options	22,803,148	32,137,299	40,321,292	-	-	-	22,853,541	32,809,333	40,321,292
c) Other contigent liabilities	-	-	-	-	-	-	-	-	-
d) Total contigent liabilities	**94,607,249**	**104,414,675**	**116,957,168**	**-**	**-**	**-**	**112,717,159**	**116,035,262**	**133,481,016**
4) CAPITAL STRENGTH									
a) Core capital	**58,379,841**	**62,469,024**	**63,440,715**	**-**	**-**	**-**	**89,198,906**	**107,504,675**	**109,148,317**
b) Minimum statutory capital	1,000,000	1,000,000	1,000,000	-	-	-	4,173,124	4,173,124	4,173,124
c) Excess / (defficiency)	**57,379,841**	**61,469,024**	**62,440,715**	**-**	**-**	**-**	**85,025,782**	**103,331,551**	**104,975,193**
d) Supplementary capital	10,080,000	20,270,000	21,060,000	-	-	-	10,080,000	21,032,684	21,843,884
e) Total capital (a+d)	**68,459,841**	**82,739,024**	**84,500,715**	**-**	**-**	**-**	**99,278,906**	**128,537,359**	**130,992,201**
f) Total risk weighted assets	**417,550,332**	**475,759,743**	**503,597,408**	**-**	**-**	**-**	**513,774,194**	**601,744,216**	**623,443,415**
Ratios									
g) Core capital / total deposit liabilities	**16.9%**	**16.4%**	**15.9%**	**-**	**-**	**-**	**20.8%**	**22.3%**	**21.9%**
h) Minimum statutory ratio	8.0%	8.0%	8.0%	-	-	-	8.0%	8.0%	8.0%
i) Excess / (deficiency) (g-h)	**8.9%**	**8.4%**	**7.9%**	**-**	**-**	**-**	**12.8%**	**14.3%**	**13.9%**
j) Core capital / total risk weighted assets	**14.0%**	**13.1%**	**12.6%**	**-**	**-**	**-**	**17.4%**	**17.9%**	**17.5%**
k) Minimum statutory ratio	10.5%	10.5%	10.5%	-	-	-	10.5%	10.5%	10.5%
L) Excess / (deficiency) (j-k)	**3.5%**	**2.6%**	**2.1%**	**-**	**-**	**-**	**6.9%**	**7.4%**	**7.0%**
m) Total capital/ total risk weighted assets	**16.4%**	**17.4%**	**16.8%**	**-**	**-**	**-**	**19.3%**	**21.4%**	**21.0%**
n) Minimum statutory ratio	14.5%	14.5%	14.5%	-	-	-	14.5%	14.5%	14.5%
o) Excess / (deficiency) (m-n)	**1.9%**	**2.9%**	**2.3%**	**-**	**-**	**-**	**4.8%**	**6.9%**	**6.5%**
(p) Adjusted core capital / total deposit liabilities*	**18.4%**	**16.7%**	**16.0%**	**-**	**-**	**-**	**22.4%**	**22.7%**	**22.2%**
(q) Adjusted core capital / total risk weighted assets*	**17.6%**	**13.3%**	**12.7%**	**-**	**-**	**-**	**18.7%**	**18.2%**	**17.8%**
(r) Adjusted total capital / total risk weighted assets*	**18.4%**	**17.6%**	**16.9%**	**-**	**-**	**-**	**20.6%**	**21.7%**	**21.3%**
5) LIQUIDITY									
a) Liquidity ratio	**61.3%**	**54.7%**	**54.9%**	**-**	**-**	**-**	**57.4%**	**52.1%**	**51.6%**
b) Minimum statutory ratio	20.0%	20.0%	20.0%	-	-	-	20.0%	20.0%	20.0%
c) Excess / (deficiency) (a-b)	**41.3%**	**34.7%**	**34.9%**	**-**	**-**	**-**	**37.4%**	**32.1%**	**31.6%**

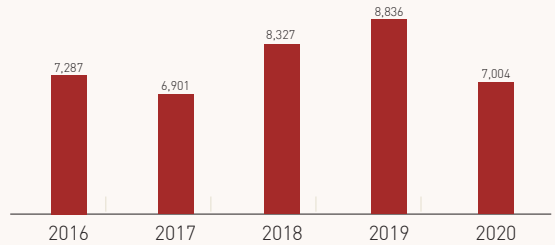
GROWTH IN DEPOSITS (In Shs. Millions)



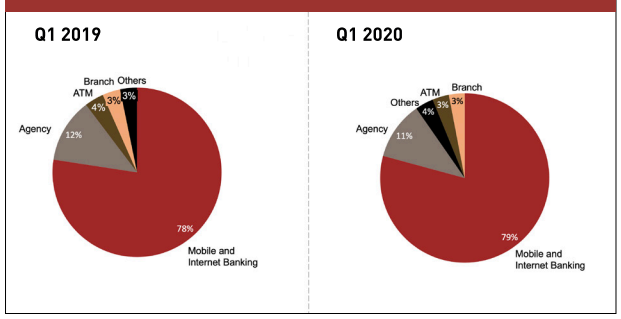
GROWTH IN TOTAL ASSETS (In Shs. Millions)



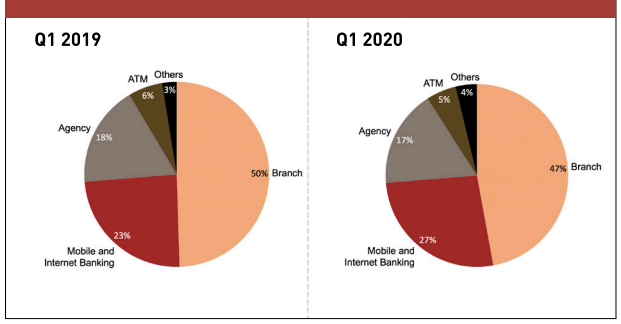
GROWTH IN PROFIT BEFORE TAX (In Shs. Millions)



97% of our transactions outside the branch



53% of our transactions value outside the branch



*The adjusted capital ratios include the expected credit loss provisions added back to capital in line with the CBK guidance note issued in April 2018 on implementation of IFRS 9.

These financial statements are extracts from the books of the institution. The complete set of financial statements, statutory and qualitative disclosures can be accessed on the Institution's website www.equitygroupholdings.com. They may also be accessed at the institution's head office located at Equity Centre, 9th floor, Hospital Road Upper Hill.

Signed: Dr. James Mwangi
Group CEO & Managing Director

Signed: Prof. Isaac Macharia
Group Non- Executive Vice Chairman